Commodities Sentiment Report

2026-07-09 13:55 UTC

Previous edition: 2026-07-08 09:35 UTC. Regime-shift edition: the US-Iran ceasefire collapsed (US air strikes launched), the Fed minutes read hawkish (9-8 split on a 2026 hike), and the board repriced hard — energy up, metals down. Aluminum joins the watchlist with its first reading.

COMMODITY	SENTIMENT	CROWD	Δ VS LAST	ONE-LINE DRIVER
Crude Oil (WTI/Brent)	**+1 Leaning bullish**	●●○ 2	▲ from Neutral	Ceasefire over, US strikes Iran; Brent +4.3% to $77.37 despite a 3.0M crude build
Natural Gas	**0 Neutral / mixed**	●○○ 1	▲ from Leaning bearish	Lean EIA injection sparked a rally; heat + LNG war risk vs storage cushion
Gold	**0 Neutral / mixed**	●○○ 1	▼ from Leaning bullish	Hawkish minutes (9-8 hike split); hike odds 67%; $4,075 despite war headlines
Silver	**-1 Leaning bearish**	●○○ 1	▼ from Leaning bullish	-2.8% to $58.27, broke $60 — the oil→inflation→real-yields chain hits it hardest
Copper	**+1 Leaning bullish**	●○○ 1	▼ from Bullish	-2.4% to $6.08 on rate repricing; structural deficit intact (BHP nod, acid shortage)
Aluminum	**+1 Leaning bullish**	○○○ 0	new	LME stocks below 300kt (first since 2022); Gulf supply risk returns with the war
Wheat	**+2 Bullish**	●○○ 1	unchanged	Structural story intact, but export sales at the bottom of estimates — rationing?
Corn	**+2 Bullish**	●○○ 1	unchanged	Corn keeps leading weekly export sales; weather premium alive
Soybeans	**+1 Leaning bullish**	●○○ 1	unchanged	Flash sales keep coming (4 more announced); weekly print not yet conclusive

Direction: −3 Very bearish → +3 Very bullish. Crowd: 0 two-sided → 3 crowded & uniform (contrarian risk). Sentiment reflects the tone of current news and trader coverage about the price outlook, not the last price move.

BIGGEST SHIFTS

Six readings moved — the most in the monitor's history — driven by two simultaneous regime events. **The war is back**: Trump declared the Iran ceasefire over and US air strikes followed the tanker attacks; Brent jumped 4.3% to $77.37 even though EIA showed a surprise 3.0M-barrel crude build (products drew hard: distillates -5.0M). Crude upgrades to +1. **The Fed turned hawkish**: the June minutes revealed a 9-8 split on a 2026 *hike* with inflation forecasts revised sharply higher, and September hike odds jumped to 67% — the oil spike itself feeds the inflation math. That chain (oil → inflation → hike odds → real yields) knocked gold to 0, **silver down two gradations' worth of narrative to -1** (-2.8%, broke $60), and trimmed copper to +1 despite an intact deficit story. Natural gas upgraded again to 0 on a lean storage print and rallying price. **The gold−silver pair flips to +1** — gold's war cushion is real, silver's isn't.

RV pair matrix

Sentiment spread = leg1 − leg2; positive favors leg1 outperformance.

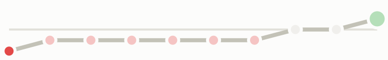
PAIR	SPREAD	Δ VS LAST	READ
gold − silver	+1	▲ from 0	The divergence flagged yesterday confirmed: gold -0.75% vs silver -2.8% on the same macro shock. War cushions gold only
corn − soybeans	+1	unchanged	Corn leads export sales; beans await a conclusive China print
corn − wheat	0	unchanged	Wheat's weak export sales (bottom of estimates) are the first sign of demand rationing — corn side firming
crude − natgas	+1	unchanged	Both legs upgraded together — the war premium is now complex-wide; this spread is direction-neutral escalation exposure
gold − copper	-1	unchanged	Both fell on the rate shock; the differential thesis (structural copper vs macro gold) survives but both legs are bruised
copper − aluminum	0	new	Both +1, both supply-tight, both Gulf-exposed. Watch which physical signal breaks first: Yangshan premium (Cu) vs LME stock draws (Al)

Catalyst calendar (next 7 days)

DATE	EVENT	LEGS	WHY IT MATTERS NOW
Thu Jul 9	US Drought Monitor update	wheat, corn	Plains footprint vs the 63%-in-drought baseline
Fri Jul 10	CFTC COT + Saxo/Hansen note (3:30pm ET)	all	Crude spec response to the war week; wheat short-covering; copper's first post-deficit-story read
Fri Jul 10	Kitco Weekly Gold Survey	gold	Does the 69%/54% bullish consensus survive the hawkish minutes?
Jul 10-12 window	USDA WASDE	wheat, corn, soybeans	First full balance sheet since the acreage shocks
Mon Jul 13	USDA Crop Progress (4pm ET)	corn, soybeans	Pollination conditions vs late-July heat
Tue Jul 14	**US CPI**	gold, silver, copper, aluminum	The print the metals selloff is waiting for — coverage explicitly frames metals as "paying the price until July 14"
Wed Jul 15	EIA Weekly Petroleum Status	crude	First full-war-week inventory data

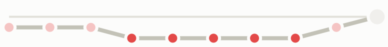
Score history (oldest → newest)

crude-oil



-2 → -1 → -1 → -1 → -1 → -1 → -1 → 0 → 0 → +1

natural-gas

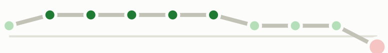


-1 → -1 → -1 → -2 → -2 → -2 → -2 → -2 → -1 → 0

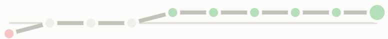
gold

+1 → +1 → +1 → +1 → +1 → +1 → +1 → +1 → +1 → 0

silver



+1 → +2 → +2 → +2 → +2 → +2 → +1 → +1 → +1 → -1

copper		0 → +1 → +1 → +1 → +1 → +2 → +2 → +2 → +2 → +1
wheat		+2 → +2 → +2 → +2 → +2 → +2 → +2 → +2 → +2 → +2
corn		+1 → +2 → +2 → +2 → +2 → +2 → +2 → +2 → +2 → +2
soybeans		-1 → 0 → 0 → 0 → +1 → +1 → +1 → +1 → +1 → +1
aluminum		+1

Crude Oil (WTI / Brent) **+1 Leaning bullish** ●●○ 2

What's happening. *Upgraded.* Trump declared the ceasefire with Iran over following the tanker attacks, and US air strikes followed; Brent traded $77.37 (+4.3%, +$5 w/w). The EIA data cut both ways: a surprise 3.0M crude build, but gasoline -1.9M and distillates -5.0M with stocks 6% below the five-year average (OilPrice, OilPrice/Hormuz).

Social pulse. Retail oil gauges (USO) ran extremely bullish through the escalation; expect crowding to build fast in a shooting war (crowd 2).

Positioning read. The regime flipped from "supply glut with a war tail" to "war with a supply-glut tail." At +1 not +2 because OPEC+ barrels and the crude build are real and a second ceasefire attempt is an ever-present headline risk — this rally is policy-reversible. Friday's COT shows how much spec length chased; the products draws say refined tightness is the sturdier long.

Natural Gas **0 Neutral / mixed** ●○○ 1

What's happening. *Upgraded again.* Prices rallied after a lean EIA storage injection (NGI), with late-July heat holding in forecasts and the LNG-security premium rising as the Gulf war resumes. Storage above average remains the cushion.

Social pulse. The long-bullish crowd is being vindicated; poll skew now matches the tape (crowd 1).

Positioning read. Two upgrades in two runs — the bear regime is over. The three drivers (heat, lean injections, LNG war risk) all point up; only the storage cushion argues for 0 over +1. The crowd-fade trade is closed; next week's injection decides whether this becomes an outright bullish call.

Gold **0 Neutral / mixed** ●○○ 1

What's happening. *Downgraded.* The June minutes showed a Fed split 9-8 on a 2026 hike with inflation forecasts revised sharply higher — in Warsh's first meeting as Chair — and September hike odds jumped to 67% from 62%. Gold fell 0.75% to $4,075 *despite* the war headlines, as the oil spike feeds the very inflation math that lifts real yields (goldsilver.com, Kitco PM, CNBC).

Social pulse. GLD's quiet 80%-positive WSB read predates the minutes; expect Friday's Kitco survey to show the consensus cracking (crowd 1).

Positioning read. The tell is that gold *fell on a war escalation* — the rate mechanism is overpowering the safe-haven bid, which is the 2026 pattern coverage keeps citing. Neutral until July 14 CPI: a soft print restores the +1 thesis, a hot one opens the downside. The war keeps a floor under it; the Fed keeps a lid on it.

Silver -1 Leaning bearish ●○○ 1

What's happening. *Downgraded.* Silver broke $60 and fell 2.8% to $58.27 — the board's worst performer — as the oil → inflation → rate-hike → real- yield chain hit the leg with the least safe-haven offset (goldsilver.com). Round trip complete: the entire post-payrolls rebound is gone.

Social pulse. The WSB dip-buyers (58/42 split, heavy volume) are underwater; watch whether the split turns capitulative or doubles down (ApeWisdom SLV).

Positioning read. The trim-then-downgrade sequence (3 → 2 crowd, +2 → +1 → -1 score) tracked this correctly: silver was the crowded, high-beta way to hold a Fed view that just reversed. Below $60 with hike odds rising, rallies are sellable until CPI (Jul 14). The long gold/short silver expression flagged pre-minutes has paid and has room while the war premium supports gold only.

Copper +1 Leaning bullish ●○○ 1

What's happening. *Trimmed.* September copper fell 2.4% to ~$6.08 as the rate repricing hit industrial metals, even as the structural story strengthened: BHP won environmental approval for a Chilean expansion explicitly premised on a tight market, and the Gulf war has created a sulphuric-acid shortage that constrains refining (Trading Economics, Investing.com).

Social pulse. Quiet; no retail crowd (crowd 1).

Positioning read. The trim is macro honesty, not a thesis change — a 67% hike probability is a genuine headwind for a metal priced in dollars. The physical story (TC/RC $0, port stocks, now acid shortage) keeps accumulating; the reload signal is either a soft July 14 CPI or a Yangshan premium acceleration. Friday's COT shows whether funds bought the story before the macro hit.

Aluminum +1 Leaning bullish ○○○ 0

What's happening. *First reading.* LME aluminum trades ~$3,090-3,155/t, extending a rebound from four-month lows. The supply side is the story: LME warehouse stocks fell below 300,000t for the first time since 2022, and the Gulf war's resumption puts Middle East smelter capacity and energy costs back at risk — the "smelter restart" easing story that had tempered prices now looks premature (Trading Economics, LME).

Social pulse. Effectively none — AA (Alcoa), the retail proxy, drew a single WSB mention (ApeWisdom AA). Crowd 0: nobody is in this trade.

Positioning read. Tight visible inventories + Gulf energy/smelter exposure + zero retail attention is a clean setup, capped at +1 by the same rate headwind hitting all industrial metals and by restart risk if a second ceasefire lands. The copper−aluminum pair opens at 0 — watch which physical signal moves first (Yangshan premium vs LME stock draws) to pick the stronger base-metals leg.

Wheat +2 Bullish ●○○ 1

What's happening. The structural story is unchanged (63% of winter wheat in drought; smallest crop since 1965/66), but the first crack appeared in demand: weekly export sales of 11.0M bu landed at the very bottom of estimates (Farm Progress, USDA FAS).

Social pulse. Unchanged short-base setup into tomorrow's COT.

Positioning read. Weak export sales are exactly the invalidator flagged since the first edition — high prices rationing demand while Black Sea supply competes. Still +2 on the supply story, but if WASDE (Jul 10-12) pairs a small crop with a small export number, the market may already have paid for the scarcity. Tomorrow's COT short-covering check matters more than ever.

Corn +2 Bullish ●○○ 1

What's happening. Corn keeps leading the weekly export sales tables, the weather premium survives (late-July heat in forecasts), and the France damage + China framework stack is intact (Farm Progress).

Social pulse. No retail crowd; chatter still trails the story.

Positioning read. The strongest demand-plus-supply mix in the ags — corn's export leadership contrasts directly with wheat's rationing signal and beans' ambiguity. Monday's Crop Progress and WASDE are the dated tests.

Soybeans **+1 Leaning bullish** ●○○ 1

What's happening. USDA flash sales keep printing — four more announced — consistent with the China framework converting to cargoes, but the weekly export sales number surfaced by the sweep still reflects the old MY-low week, so the conclusive China-scale print is pending (Farm Progress flash sales, USDA FAS).

Social pulse. No fresh signal.

Positioning read. The drip of flash sales supports the +1; the +2 trigger remains a headline weekly print showing China at scale. WASDE's export-line revision (Jul 10-12) may front-run it. The corn−soybean spread at +1 is stable until one of those lands.
